



House of Representatives

General Assembly

File No. 113

February Session, 2026

Substitute House Bill No. 5365

House of Representatives, March 23, 2026

The Committee on Housing reported through REP. FELIPE of the 130th Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

AN ACT INCREASING CERTAIN HOUSING UNIT-EQUIVALENT POINTS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (l) of section 8-30g of the 2026 supplement to the
2 general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective October 1, 2026*):

4 (l) (1) Except as provided in subdivision (2) of this subsection, the
5 affordable housing appeals procedure established under this section
6 shall not be applicable to an affordable housing application filed with a
7 commission during a moratorium, which shall commence after (A) a
8 certification of affordable housing project completion issued by the
9 commissioner is published in the Connecticut Law Journal, or (B) notice
10 of a provisional approval is published pursuant to subdivision (4) of this
11 subsection. Any such moratorium shall be for a period of four years,
12 except that for any municipality that has (i) twenty thousand or more
13 dwelling units, as reported in the most recent United States decennial
14 census, and (ii) previously qualified for a moratorium in accordance

15 with this section, any subsequent moratorium shall be for a period of
16 five years. Any moratorium that is in effect on October 1, 2002, is
17 extended by one year.

18 (2) Such moratorium shall not apply to (A) affordable housing
19 applications for assisted housing in which ninety-five per cent of the
20 dwelling units are restricted to persons and families whose income is
21 less than or equal to sixty per cent of the median income, (B) other
22 affordable housing applications for assisted housing containing forty or
23 fewer dwelling units, or (C) affordable housing applications which were
24 filed with a commission pursuant to this section prior to the date upon
25 which the moratorium takes effect.

26 (3) Eligible units completed before a moratorium has begun, but that
27 were not counted toward establishing eligibility for such moratorium,
28 may be counted toward establishing eligibility for a subsequent
29 moratorium. Eligible units completed after a moratorium has begun
30 may be counted toward establishing eligibility for a subsequent
31 moratorium.

32 (4) (A) Except as provided in subparagraph (B) of this subdivision,
33 the commissioner shall issue a certificate of affordable housing project
34 completion for the purposes of this subsection upon finding that there
35 has been completed within the municipality one or more affordable
36 housing developments which create housing unit-equivalent points
37 equal to (i) the greater of two per cent of all dwelling units in the
38 municipality, as reported in the most recent United States decennial
39 census, or seventy-five housing unit-equivalent points, or (ii) for any
40 municipality that has (I) adopted a municipal housing growth plan or
41 has elected to comply with a regional housing growth plan in
42 accordance with the provisions of section 8-13cc, (II) twenty thousand
43 or more dwelling units, as reported in the most recent United States
44 decennial census, and (III) previously qualified for a moratorium in
45 accordance with this section, one and one-half per cent of all dwelling
46 units in the municipality, as reported in the most recent United States
47 decennial census.

48 (B) If a municipality has received a final letter of eligibility from the
49 commissioner pursuant to section 8-13gg, the commissioner shall issue
50 a certificate of affordable housing completion to such municipality at
51 such time as, upon application, the commissioner determines, in the
52 commissioner's discretion, that the municipality is in compliance with
53 the following conditions: The municipality remains in compliance with
54 all requirements for a final letter of eligibility, and there has been
55 completed within the municipality one or more affordable housing
56 developments that create housing unit-equivalent points equal to (i) the
57 greater of one and three-quarter per cent of all dwelling units in the
58 municipality, as reported in the most recent United States decennial
59 census, or sixty-five housing unit-equivalent points, or (ii) for any
60 municipality that (I) has adopted a municipal housing growth plan or
61 has elected to comply with a regional housing growth plan in
62 accordance with the provisions of section 8-13bb, (II) has twenty
63 thousand or more dwelling units, as reported in the most recent United
64 States decennial census, and (III) previously qualified for a moratorium
65 in accordance with this section, one and one-half per cent of all dwelling
66 units in the municipality, as reported in the most recent United States
67 decennial census.

68 (C) A municipality may apply for a certificate of affordable housing
69 project completion pursuant to this subsection by applying in writing to
70 the commissioner, and including documentation showing that the
71 municipality has accumulated the required number of points within the
72 applicable time period. Such documentation shall include the location
73 of each dwelling unit being counted, the number of points each dwelling
74 unit has been assigned, and the reason, pursuant to this subsection, for
75 assigning such points to such dwelling unit. Upon receipt of such
76 application, the commissioner shall promptly cause a notice of the filing
77 of the application to be published in the Connecticut Law Journal,
78 stating that public comment on such application shall be accepted by the
79 commissioner for a period of thirty days after the publication of such
80 notice. Not later than ninety days after the receipt of such application,
81 the commissioner shall either approve or reject such application. Such
82 approval or rejection shall be accompanied by a written statement of the

83 reasons for approval or rejection, pursuant to the provisions of this
84 subsection. If the application is approved, the commissioner shall
85 promptly cause a certificate of affordable housing project completion to
86 be published in the Connecticut Law Journal. If the commissioner fails
87 to either approve or reject the application within such ninety-day
88 period, such application shall be deemed provisionally approved, and
89 the municipality may cause notice of such provisional approval to be
90 published in a conspicuous manner in a daily newspaper having general
91 circulation in the municipality, in which case, such moratorium shall
92 take effect upon such publication. The municipality shall send a copy of
93 such notice to the commissioner. Such provisional approval shall
94 remain in effect unless the commissioner subsequently acts upon and
95 rejects the application, in which case the moratorium shall terminate
96 upon notice to the municipality by the commissioner.

97 (5) For the purposes of this subsection, "elderly units" are dwelling
98 units whose occupancy is restricted by age, "family units" are dwelling
99 units whose occupancy is not restricted by age, and "resident-owned
100 mobile manufactured home park" has the same meaning as provided in
101 subsection (k) of this section.

102 (6) For the purposes of this subsection, housing unit-equivalent
103 points shall be determined by the commissioner as follows: (A) No
104 points shall be awarded for a unit unless its occupancy is restricted to
105 persons and families whose income is equal to or less than eighty per
106 cent of the median income, except that (i) unrestricted units in a set-
107 aside development shall be awarded one-quarter point each, [and] (ii)
108 dwelling units in transit community middle housing developments
109 developed pursuant to subdivision (2) of subsection (a) of section 8-2s
110 shall be awarded one-quarter point each, and (iii) unrestricted accessory
111 apartments developed as of right, as defined in section 8-1a, shall be
112 awarded one-quarter point each; (B) family units restricted to persons
113 and families whose income is equal to or less than eighty per cent of the
114 median income shall be awarded one and one-quarter point if an
115 ownership unit and one and [one-half] three-quarters points if a rental
116 unit; (C) family units restricted to persons and families whose income is

117 equal to or less than sixty per cent of the median income shall be
118 awarded one and [one-half] three-quarters points if an ownership unit
119 and two and one-quarter points if a rental unit; (D) family units
120 restricted to persons and families whose income is equal to or less than
121 forty per cent of the median income shall be awarded two and one-half
122 points if an ownership unit and [two and one-half] three points if a
123 rental unit; (E) family units restricted to persons and families whose
124 income is equal to or less than twenty per cent of the median income
125 shall be awarded two and three-quarters points if an ownership unit and
126 three and one-quarter points if a rental unit; (F) elderly units restricted
127 to persons and families whose income is equal to or less than eighty per
128 cent of the median income shall be awarded one-half point; [(F)] (G) a
129 set-aside development containing family units which are rental units
130 shall be awarded additional points equal to twenty-two per cent of the
131 total points awarded to such development, provided the application for
132 such development was filed with the commission prior to July 6, 1995;
133 [(G)] (H) a mobile manufactured home in a resident-owned mobile
134 manufactured home park shall be awarded points as follows: (i) One
135 and one-half points when occupied by persons and families with an
136 income equal to or less than eighty per cent of the median income, (ii)
137 two points when occupied by persons and families with an income
138 equal to or less than sixty per cent of the median income, and (iii) one-
139 fourth point for the remaining units; [and (H)] (I) any unit described in
140 subparagraphs (A) to [(G)] (H), inclusive, of this subdivision shall be
141 awarded an additional one-quarter point, provided such unit was
142 constructed by or in conjunction with a housing authority, as defined in
143 section 8-40, of a neighboring municipality; (J) a deed-restricted
144 accessory apartment shall be awarded half the point total a family unit
145 with the same deed restriction would be awarded pursuant to
146 subparagraphs (B) to (E), inclusive, of this subdivision; and (K) a deed-
147 restricted accessory apartment developed as of right, as defined in
148 section 8-1a, shall receive an additional one-quarter point above the
149 amount awarded pursuant to subparagraph (J) of this subdivision.

150 (7) Points shall be awarded only for dwelling units which (A) were
151 newly-constructed units in an affordable housing development, as that

152 term was defined at the time of the affordable housing application, for
153 which a certificate of occupancy was issued after July 1, 1990, (B) were
154 newly subjected after July 1, 1990, to deeds containing covenants or
155 restrictions which require that, for at least the duration required by
156 subsection (a) of this section for set-aside developments on the date
157 when such covenants or restrictions took effect, such dwelling units
158 shall be sold or rented at, or below, prices which will preserve the units
159 as affordable housing for persons or families whose income does not
160 exceed eighty per cent of the median income, or (C) are located in a
161 resident-owned mobile manufactured home park.

162 (8) Points shall be subtracted, applying the formula in subdivision (6)
163 of this subsection, for any affordable dwelling unit which, on or after
164 July 1, 1990, was affected by any action taken by a municipality which
165 caused such dwelling unit to cease being counted as an affordable
166 dwelling unit.

167 (9) A newly-constructed unit shall be counted toward a moratorium
168 when it receives a certificate of occupancy. A newly-restricted unit shall
169 be counted toward a moratorium when its deed restriction takes effect.

170 (10) The affordable housing appeals procedure shall be applicable to
171 affordable housing applications filed with a commission after a three-
172 year moratorium expires, except (A) as otherwise provided in
173 subsection (k) of this section, or (B) when sufficient unit-equivalent
174 points have been created within the municipality during one
175 moratorium to qualify for a subsequent moratorium.

176 (11) The commissioner shall, within available appropriations, adopt
177 regulations in accordance with chapter 54 to carry out the purposes of
178 this subsection. Such regulations shall specify the procedure to be
179 followed by a municipality to obtain a moratorium, and shall include
180 the manner in which a municipality is to document the units to be
181 counted toward a moratorium. A municipality may apply for a
182 moratorium in accordance with the provisions of this subsection prior
183 to, as well as after, such regulations are adopted.

This act shall take effect as follows and shall amend the following sections:		
---	--	--

Section 1	<i>October 1, 2026</i>	8-30g(l)
-----------	------------------------	----------

Statement of Legislative Commissioners:

In Subsec. 1(6), "unit" was changed to "family unit" for consistency.

HSG *Joint Favorable Subst. -LCO*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact:

Municipalities	Effect	FY 27 \$	FY 28 \$
Various Municipalities	Potential Savings	See Below	See Below

Explanation

The bill increases (1) the type of housing units that qualify for housing unit-equivalent points and (2) the number of points awarded for certain types of housing units toward a moratorium under the affordable housing land use appeals procedure.¹ This results in a potential savings to municipalities beginning in FY 27 for legal costs to the extent that more municipalities are awarded a moratorium.²

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to inflation and the number of moratoriums that are awarded.

Sources: <https://portal.ct.gov/-/media/doh/moratorium-history-3-31-2025.pdf?rev=40e284246c8b4218b638a71952eaa5da&hash=143E328FA4398D9945A2159AAFE739D8>

¹ As of August 2025, five municipalities have an active moratorium granted under CGS 8-30g.

² Several municipalities reported spending up to \$215,000 on legal costs, appeals, and litigation related to CGS 8-30g projects within the past few years.

OLR Bill Analysis**sHB 5365*****AN ACT INCREASING CERTAIN HOUSING UNIT-EQUIVALENT POINTS.*****SUMMARY**

This bill modifies housing unit equivalent (HUE) point allocations under the affordable housing land use appeals procedure (CGS § 8-30g; see BACKGROUND – § 8-30g). Specifically, it (1) explicitly sets point allocations for certain accessory apartments (also known as accessory dwelling units or ADUs) and (2) increases current law's point allocations for income-restricted family units (not age-restricted), including creating a new, higher-point allocation category for these units if they are restricted to households with incomes up to 20% of the median income. (Under existing law and the bill, "median income" means the lesser of the federally determined state or area median income, after family size adjustments.)

The table below shows HUE point allocations by unit type under current law and the bill.

Under existing law, a municipality is generally eligible for a four- or five-year moratorium (temporary suspension) from appeals taken under § 8-30g each time it shows it has added a certain amount of qualifying housing units to its housing stock, measured in HUE points (since July 1, 1990, for a first moratorium). The number of points required depends on certain factors, like the municipality's size and whether it adopted certain zoning regulations or has qualified for a moratorium before.

EFFECTIVE DATE: October 1, 2026

HUE POINT ALLOCATIONS**Table: Base and Bonus HUE Points Under Current Law vs. HB 5365**

<i>Unit Type</i>		<i>Base HUE Value (per Unit) Current Law</i>	<i>Base HUE Value (per Unit) HB 5365</i>
Market-rate unit in a set-aside development		0.25	No change
Certain middle housing dwelling units built under local option regulation		0.25	No change
Market-rate accessory apartment developed as of right (see below)		N/A	0.25
Accessory apartment subject to a deed restriction equivalent to the categories applicable to a family unit (80%, 60%, 40%, or 20% of median income)		Generally same as applicable family unit value	0.5 x applicable family unit value*
Owned family unit restricted to households earning no more than:	80% of median income	1.00	1.25
	60% of median income	1.50	1.75
	40% of median income	2.00	2.5
	20% of median income	2.00	2.75
Rented family unit restricted to households earning no more than:	80% of median income	1.50	1.75
	60% of median income	2.00	2.25
	40% of median income	2.50	3.00
	20% of median income	2.50	3.25
Owned or rented elderly unit restricted to households earning no more than 80% of the median income		0.50	No change
Owned or rented homes in resident-owned mobile manufactured home parks occupied by households earning 80% or less of the median income		1.50	No change
Owned or rented homes in resident-owned mobile manufactured home parks occupied by households earning 60% or less of the median income		2.00	No change
Owned or rented homes in resident-owned mobile manufactured home parks not otherwise eligible for points		0.25	No change
<i>Unit Type</i>		<i>Bonus HUE Value Current Law</i>	<i>Bonus HUE Value HB 5365</i>
Rental family units in a set-aside development, if the developer applied for local approval before July 6, 1995		Bonus equal to 22% of the total points awarded to the development	No change

<i>Unit Type</i>	<i>Base HUE Value (per Unit) Current Law</i>	<i>Base HUE Value (per Unit) HB 5365</i>
Unit that is eligible for a base HUE allocation, as described above, and was constructed by (or with) a neighboring municipality's housing authority	0.25 per unit	No change
Accessory apartment subject to a deed restriction (see above) that is <u>developed as of right</u>	N/A	0.25 per apartment

**Under the bill, a deed-restricted accessory apartment is awarded half the points of a family unit with an equivalent deed restriction; under current law, these accessory apartments generally are awarded the same HUE point allocation as the applicable family unit type*

ACCESSORY APARTMENT-RELATED DEFINITIONS

Under existing law and the bill, an “accessory apartment” is a separate dwelling unit that (1) is located on the same lot as a principal dwelling unit of greater square footage; (2) has cooking facilities; and (3) complies with, or is otherwise exempt from, any applicable building code, fire code, and health and safety regulations. “As-of-right” means a project may be approved without requiring (1) a public hearing; (2) a variance, special permit, or special exception; or (3) other discretionary zoning action, other than a determination that a site plan conforms with applicable zoning regulations (CGS § 8-1a).

BACKGROUND

§ 8-30g

The affordable housing land use appeals procedure is a set of rules that allows developers to appeal to Superior Court local planning and zoning commission decisions denying affordable housing developments or approving them with costly conditions. In traditional zoning appeals, the developer must convince the court that the commission (municipality) acted illegally or arbitrarily, or abused its discretion, by rejecting the proposed development. The § 8-30g appeals procedure instead places the burden of proof on the municipality. Only municipalities in which less than 10% of the housing stock is affordable, and that have not qualified for a moratorium, are subject to the procedure.

Related Bills

The Housing, Insurance and Real Estate, and Planning and Development committees favorably reported several bills impacting § 8-30g, including: sSB 338 (prohibits the allocation of HUE points after § 8-30g litigation, under certain circumstances); HB 5362 (reduces the required affordability period for set-aside developments on municipal land, requires the court to stay appeals when a municipality applies for a moratorium, extends moratoria to align with housing growth plans, requires towns to report on affordable housing applications, and clarifies middle housing HUE point allocations); HB 5364 (redefines “set-aside development” to reduce required affordability periods and aligns HUE point allocations with them); sHB 5376 (adds an additional ground for a local commission to defend its decision on an affordable housing application); and sHB 5395 (allocates HUE points to modular and prefabricated homes that do not otherwise qualify for points).

Additionally, the Planning and Development Committee favorably reported two bills impacting accessory apartments: sHB 5288 (renames “accessory apartments” as “accessory dwelling units”(ADUs), extends the law on allowing them as-of-right to more municipalities, and clarifies how they can be treated by utilities) and sHB 5507 (makes the same changes as sHB 5288 and eliminates the option to opt-out of the as-of-right ADU law, sets additional restrictions on municipal ADU regulations, and requires Department of Housing to develop a program promoting standardized ADU designs).

COMMITTEE ACTION

Housing Committee

Joint Favorable

Yea 17 Nay 1 (03/05/2026)